

TABLE 7.6 Chasing Your Life Expectancy

	At Birth	At Age 75
Male	73.6	84.6
Female	79.2	86.9

Source: Life Tables for the United States Social Security Area 1900–2100 Actuarial Study No. 116.

What is the take-away point from all of these numbers? The most important one is to realize that you are chasing your life expectancy as you age. Table 7.2 summarizes this point once again using U.S. Social Security tables. Don’t confuse or misunderstand the numbers you see mentioned and quoted by the media. The next point is that you need to recognize and understand the concept of longevity risk. For those who prefer pictures to numbers, Figure 7.2 provides a graphical illustration of this risk. Although there is a 60% to 80% chance you will spend 10 to 20 years in retirement, there is a 10% to 20% chance you might get to the high 90s or perhaps even triple digits. It’s a matter of probabilities. This is a risk. Recall that the opposite risk is premature death that must be hedged using some sort of insurance or risk management strategy.

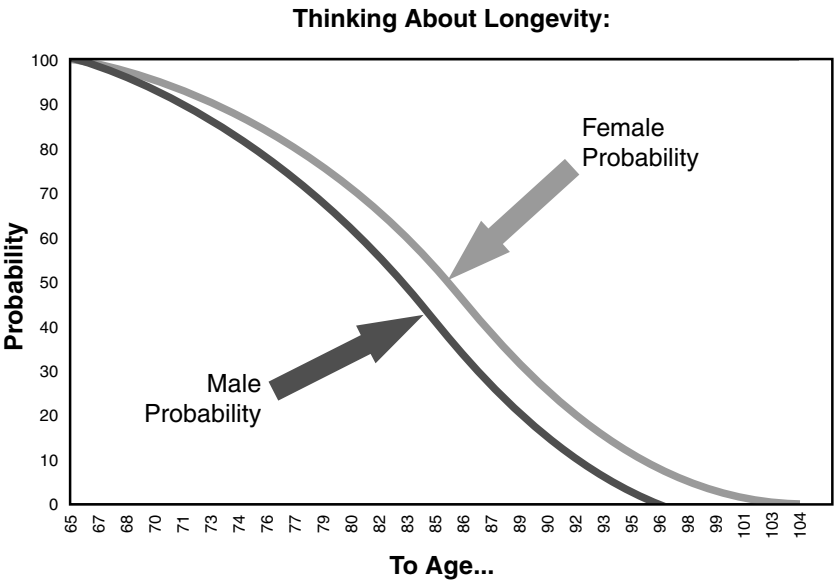


Figure 7.2 Aging down a curved slope.

Data Source: RP2000, SoA; IFID Centre calculations.